

To what extent do consumption patterns among youth (aged 18–30) differ between India and the UK in terms of spending, priorities, saving behaviour, and discretionary expenditure?

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Abstract

This study examines how youth (aged 18–30) in India and the UK differ in their consumption patterns, with a focus on spending priorities, saving behaviour, and discretionary expenditure. The aim is to understand how economic context and financial systems shape everyday money decisions among young adults. India is an emerging economy with lower average income levels, while the UK is a developed economy with higher income but higher living costs. World Bank data shows a large gap in GDP per capita between the two countries, which affects how much young people can spend after essentials. (World Bank)

The study uses a mixed-method approach for its analysis . It combines secondary data from government and institutional sources with a primary online survey of 80 respondents aged 18–30 (India and UK). The findings suggest two clear differences about consumption pattern.

First, UK youth spend a larger share on essential goods and services, that includes housing, which reduces overall discretionary spending. National UK survey finding shows tenants spend a good amount of money of their disposable income on housing costs. On the other hand, Indian youth show stronger saving habits and intentions, however recent evidence suggests household financial saving has weakened in recent years, alongside growing digital payment use that may encourage frequent small purchases. Overall, the results indicate that income levels, living costs, and credit/payment systems strongly influence youth spending and saving, creating meaningful differences between India and the UK.

Keywords: Consumption patterns, youth expenditure, saving behaviour, discretionary income, India, UK, comparative analysis.

Introduction

Youth consumption plays a very important role in any economy and its growth. Young people between the ages of 18 and 30 are considered as the most active consumers leading the maximum demand creators of goods and services. They spend on education, housing, food, transport, technology, fashion, and entertainment. Their spending supports businesses and creates demand in markets for expansion and growth. When income from the working population increases that consists mainly of youth, demand for goods and services also increases as a result consumption increases. More consumption generates more employment. This helps in economic growth and adds to the . According to the World Bank (2024) study, repost household consumption is one of the largest components of GDP in most countries. Therefore, understanding the saving and spending patterns of young people is important for economic analysis.

The case of India and the United Kingdom provide an interesting comparison. India is an emerging economy with a large proportion of young population. The UK is a developed economy with much higher per capita income levels but its population growth is much slower compared to India and many other countries . According to the World Bank (2024) data, India's GDP per capita in 2023 was about USD 2,400, while the UK's GDP per capita was above USD 46,000. This large income gap affects how young people spend and save money. Higher income usually allows more discretionary spending. Lower income often requires careful budgeting and higher financial pressure for spendings .

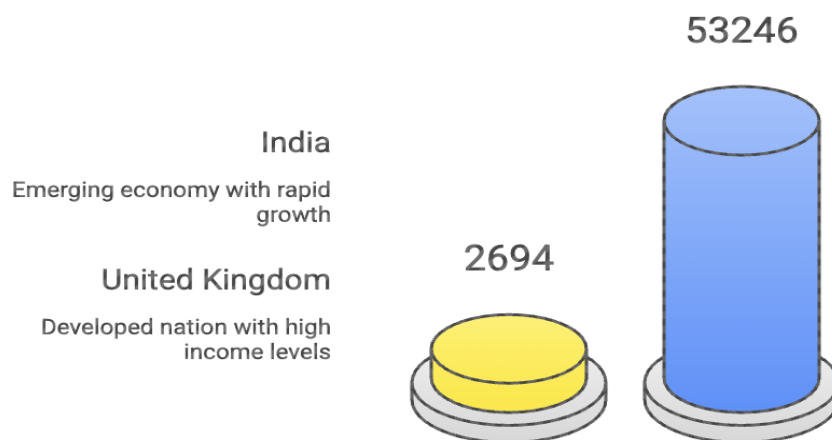
The structure of the economy also matters when we discuss consumption patterns . India has a large informal sector and many young people live and earn their livelihood with their families. Family support systems are strong in India . In contrast, young adults in the UK often move out earlier and live independently. This increases housing and living costs. The Office for National Statistics (ONS, 2024) reports that housing costs take a significant share of disposable income among young adults in the UK. In India, housing expenses are lower for those living with parents, but urban rents are rising in major cities.

Youth unemployment is another important factor. The International Monetary Fund (IMF, 2024) highlights that labour market conditions directly influence consumption behaviour. According to ONS (2024), youth unemployment in the UK was around 11–12% in recent years. In India, youth unemployment has remained higher, especially in urban areas, as reported by the Reserve Bank of India (RBI, 2023). At the time of recession and higher unemployment young population spend less and reduce their consumption to save money for unexpected circumstances.

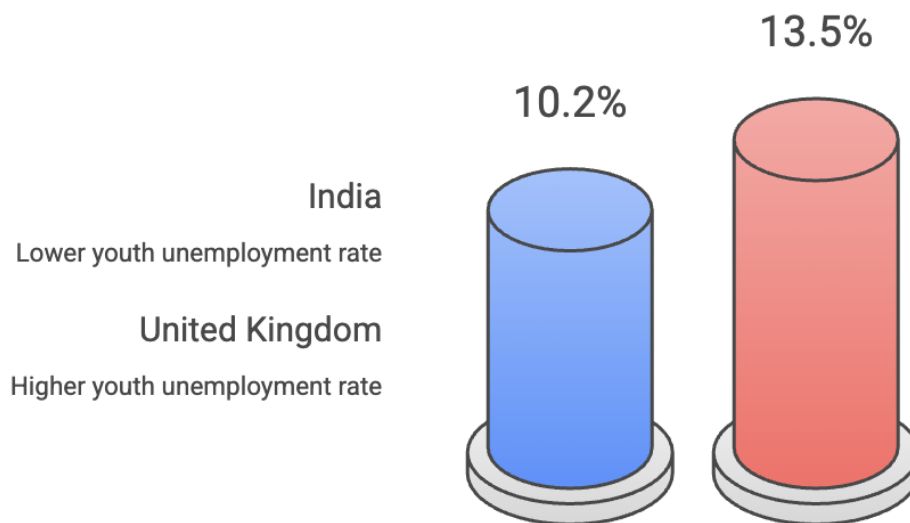
Financial institutions and systems they follow also differ between the two countries. The UK has a well-developed credit market. Therefore young people in the UK have better access to student loans, credit cards, and buy-now-pay-later services. This encourages and facilitates short-term borrowing and consumption. On the other hand In India, growth of the formal credit system is still growing and much lower compared to (RBI, 2023). Studies also suggest that Indian households traditionally show higher saving rates compared to many Western economies (World Bank, 2024) . This type of financial behavior is influenced mainly due to Cultural attitudes toward saving and family responsibility.

These macroeconomic and structural differences create different consumption pattern among the people of these two countries. Income level, cost of living, unemployment, and financial access all influence the decision on how youth manage their money. Therefore, comparison between India and the UK is useful and provides an insight into how economic development influences spending priorities, saving behaviour, and discretionary spending.

GDP per Capita Comparison: India vs. UK (2024)



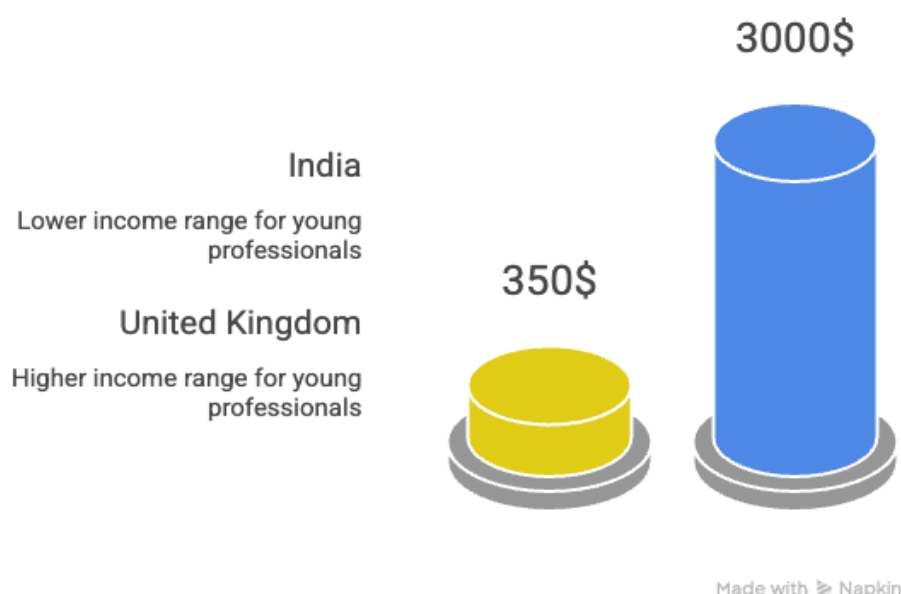
Youth Unemployment Rates in India and UK



Average Monthly Income estimates of people of (Youth 18–30)

Country	Average Monthly Income (Youth 18–30 approx.)
India	\$300 – \$400 per month
United Kingdom	\$2,800 – \$3,200 per month

Average Early-Career Income Estimates for Youth (18-30)



Literature Review

There are many economic theories that help to understand how people save and spend money. One of the important ideas is Engel's Law. It states that as income rises, the portion of total income that is spent on food decreases, even if total spending increases. This means that higher-income youth of UK, is likely to spend a smaller percentage of their income on basic needs and more on services or leisure. On the contrary youth in India who earn lower average income than UK youth spend large proportion of their money on essentials.

Another important theory is the life-cycle hypothesis developed by Modigliani. This describes how people try to smooth consumption over their lifetime. Young adults are likely to borrow more or spend more when they see better and higher future income. access to student

loans and consumer credit in UK supports this pattern. Data from the OECD (2024) also shows that household debt levels are generally much more in developed countries like in the UK. On the contrary, the volume and quantity of borrowing among youth in emerging economies like in India is still lower compared to developed economies (RBI, 2023).

Behavioral economics also helps explain youth spending patterns. Young consumers show impulse buying or overconfidence about future income. Digital payment tools like UPI and E-wallet have encouraged the cashless systems that increase frequent small purchases (Dev et al., 2024). Cultural influence also matters. In India, strong family structures often shape financial decisions. Many young adults in India live with their parents and contribute to overall household income. In developed countries including the UK, young adults achieve financial independence much earlier compared to youth living in developing countries because of a variety of cultural and non cultural reasons . According to the Office for National Statistics (ONS, 2024), many youth in the UK pay their house rent and bear the essential cost on their own that also affects their disposable income and saving ability.

Spending priorities differ between developed and emerging economies due to income level and cost of living. In the UK, house rent takes a large share of youth income. ONS (2024) data shows it is one of the biggest expenses for young adults. While in India accommodation cost is shared among many family members as many youth live and are supported by joint family households although rent is continuously increasing in major metro cities. Many students in the UK take student loans to support their Higher education that creates long term debt obligations on them. On the other hand in India education and skill training fees are mostly provided by the family. That reduces the burden on Indian youth to save more once they get employed. A strong public health care system funded by the government also reduces the financial burden

of health care and medical expenses. On the other hand in India medical bills can affect the years of savings and household budget(World Bank, 2024). In both the countries digital mode of transactions are popular , India is seeing a rapid growth in mobile app- based payment systems for small transactions. That helps them to keep track of expenses.

Saving Behaviour Among Youth

Cultural norms and economic state of the country plays an important role in decisions related to Saving and spending. People tend to save more at the time of recession , job uncertainty to protect themselves from future risks . Although unemployment rates among the young population remain a concern in both countries, patterns also differ (IMF, 2024).Similarly during the time of high inflation real value of saving reduces as both countries have been experiencing inflationary pressure . These economic factors also affect the pattern of saving and spending. Access to savings accounts, pensions, and investment products is much higher in the UK compared to India; this also affects how youth allocate their money. Although India has encouraging and pushing financial inclusion programs and digital banking growth (RBI, 2023). However, the gross domestic saving rate remains higher in India compared to many developed countries (World Bank, 2024). This reflects cultural saving norms and family-based financial responsibility. These factors highlight financial behaviour varies not only based on earning also because of institutional and cultural differences.

Discretionary Spending & Lifestyle Economics

This includes non-essential allocation of money on travel, streaming subscriptions, fashion, dining out, and luxury goods. Studies highlight that in developed economies a large portion of money is spent on experiences, lifestyle services and younger consumers globally

give preference to convenience and brand experience McKinsey (2025). The growing middle-class and their income in India spend more money on smartphones, fashion, and travel (Chaudhary & Khatoon, 2022). Social media also plays an important role in influencing youth preferences and allocation of money in both countries. Overall, literature explains among youth that income, culture, welfare systems, and financial access all influence youth consumption in different ways in India and the UK.

Methodology

The study aims to compare youth consumption patterns in both the countries . It is based on both secondary data and primary survey data. Secondary data helps provide national-level economic context to understand the national perspective . Primary data is collected to understand and capture real behaviour of young people.

Sources for Secondary data are reports of World Bank (2024), the Office for National Statistics (2024), the Reserve Bank of India (2023), and the OECD (2024). These sources provide reliable data on income levels, money saved, household expenditure ,rate of unemployment, and financial access. In addition to that academic research paper and journal articles are also used to understand the pattern of saving an expenditure among youth of these two countries. Use of official data increases accuracy, reliability and Makes the comparison easy.To collect the primary data a survey was designed with the name to measure spending priority of individuals, this saving behaviour and the discretionary expenditure among youth aged 18 to 30.

The macro-level statistics and micro-level survey responses help improve the reliability and depth of the analysis. It helped the comparison between national trends and actual individual behaviour. This mixed approach of using primary and secondary data improves validity and provides both statistical depth and behavioural insight.

Primary Data Collection

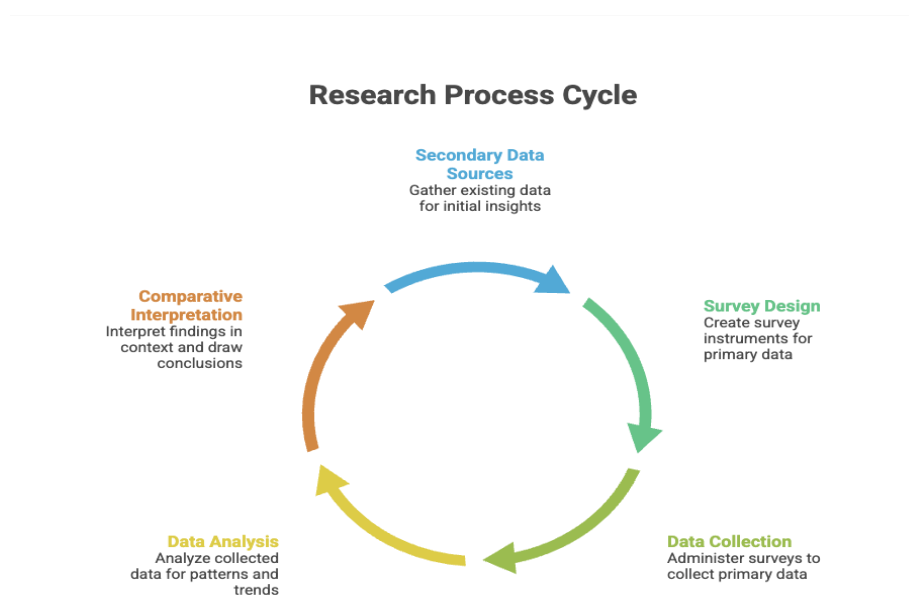
The primary data was collected through an online questionnaire sent to a total of 80 people who participated in the survey and responses were recorded. The target age group was 18–30 years. The sample aimed to include 40 respondents from India and 40 from the UK, if possible.

The questionnaire included structured questions. Respondents were asked about:

- Monthly income level
- Self recognised gender
- Spending priorities
- What motivates them for savings?
- Expenditure tracking habit: whether occasional or regular
- What are savings for?
- Percentage of income spent on essentials (housing, food, transport, utilities)
- Percentage of income saved
- Percentage spent on discretionary items (travel, fashion, dining out, streaming, luxury goods)
- Access to credit or loans
- Influence of social media on expenditure or purchase behaviour of theirs

- How often did they make impulsive purchases?
- Did they regret impulsive purchase later on?
- What matters more quality or affordability?

The survey used multiple-choice and percentage-based questions to keep the survey simple and quick to respond. This helped collect quantifiable data. Use of Online platform made distribution easy and faster data collection.



Variables Measured

The study includes both independent and dependent variables.

Independent variables:

- Country (India or UK)
- Income level (low, middle, high within youth group)

Dependent variables:

- Percentage of income spent on essential goods
- Percentage of income saved
- Percentage spent on discretionary items

Country is treated as a key structural factor. Income level is included because disposable income of any individual strongly affects spending choices. According to World Bank (2024) data, income differences between India and the UK are large. This likely influences saving behaviour and lifestyle spending. Measuring percentages instead of raw income improves comparability between countries.

Limitations

There are some limitations in this study. First, the sample size is limited to 80 respondents. This may not fully represent all youth in both countries to get a more generalized view of the data . Second, the collected survey data is self-reported. Respondents may have overestimated and then reported their savings or underestimated spending. Third, the sample may have an urban bias and lack full representation of population from all regions, since online surveys are more accessible in cities.

Despite these limitations, combining primary survey data with official statistics from reliable sources RBI (2023), ONS (2024), and the World Bank (2024) improves reliability. The mixed-method approach balances the individual-level responses with national-level evidence and strengthens the overall analysis .

Comparative Analysis: Spending Priorities

Spending on essential goods forms the largest part of youth budgets in both India and the UK. However, the structure of this expenditure varies strongly.

In the UK almost all respondents spent most on groceries and housing costs with the exception of a few for whom transport took the largest share of their expenses. The responses chart a clear spending priorities pattern where education and or food is at the top. It is followed by Skill development and Recreation. Travel, fashion or lifestyle and entertainment is at last. 66% of respondents agreed that the food or groceries and housing takes most of their expenses. One out of every five(i.e. 20%) spent most on transport and similarly 20% spent maximum on lifestyle.

According to the Office for National Statistics (ONS, 2024), In the UK, housing costs , water, electricity, gas, and other fuels are among the biggest categories of household spending. Increase in rental cost in the last few years and has increased the burden on rent and expenses on individual youth who live independently. As a result, a large share of income goes toward housing and other essentials before other expenses are covered.

In India, housing costs vary widely. Many young adults live with their parents and grandparents, especially in urban middle-class families. This reduces the direct rent payment burden on them.

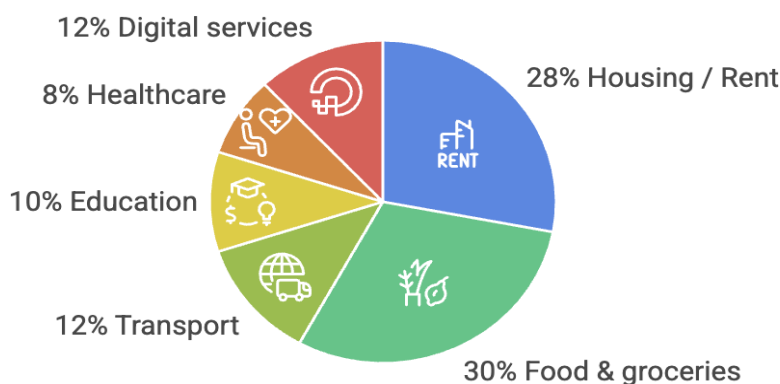
According to the National Statistical Office (NSO, 2023), food and housing together form a major part of household consumption expenditure, but the structure varies a lot between rural and urban India. Even when Indian youth live independently, rent is often lower compared to UK

cities when measured as a share of income. Engel's Law suggests that lower-income groups spend a larger share of income on food. World Bank (2024) data highlights that India's per capita income is much lower than the UK's. Therefore, food forms a higher percentage of spending for Indian youth. In the UK, although food prices are increasing, the percentage share of income spent on food is much lower compared to developing economies.

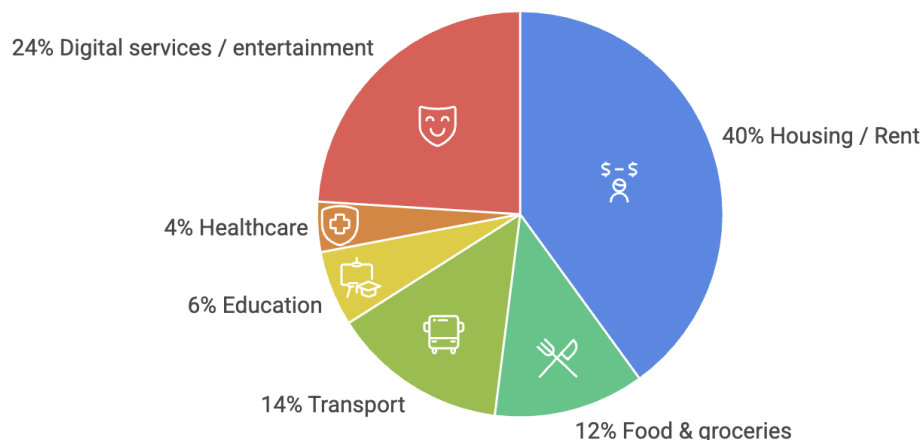
Transportation, commuting and utilities expenses also differ in these two countries . UK youth mostly use public transport networks or personal cars for regular commuting. Thus fuel and transport costs are also a big expenditure after accommodation costs . In India, transport spending includes fuel, public transport, or two-wheeler costs, which are generally much more economical. Other Utility bills such as electricity and internet are essential in both countries. However, internet access in India is relatively low-cost compared to many developed countries.

Pie charts comparing spending breakdown of youth in India and the UK.

Spending Breakdown of Youth in India (Approximate %)



Spending Breakdown of Youth in the United Kingdom (Approximate %)



Overall, UK youth face a higher rent burden, while Indian youth often benefit from shared family housing but may have stronger financial dependency within households.

Education & Skill Investment

Education spending is another important expenditure that varies in both countries. In the UK, for higher education students avail the facility of borrowing the tuition fee and repaying. According to the UK government data (Student Loans Company, 2024), many graduates begin working life due to loan obligations. This reduces their saving capacity and early career and also affects financial planning. In India, public (government funded) universities are much more affordable compared to private education and coaching centers. Most of the middle class households invest heavily in private tuition, competitive exam preparation, and professional courses for better career goals. This creates early financial pressure on youth but often with

family support it is manageable. RBI (2023) data shows there is a steady increase in demand for education loans in India as well.

Professional certifications and skill courses are also rising in both countries. Digital learning platforms have expanded access. However, the cost structure differs due to currency and income differences. In percentage terms, education expenses are much higher for Indian middle-class families compared to UK households.

Digital & Technology Spending

Digital spending has grown rapidly among youth in both countries. In the UK, consistent increase in expenditure on recreation and subscriptions for online streaming platforms, gaming services, and digital entertainment are popular and common choices. Other expenses include mobile contracts and high-speed broadband services.

In India, mobile data costs are among the lowest globally. This has increased smartphone penetration and digital payment usage. As a result India has witnessed rapid growth in digital transactions in recent years(According to RBI (2023),). OTT subscriptions and online shopping have expanded among urban youth. The study by Dev et al. (2024) also highlights that digital payment systems may increase convenience spending and small frequent purchases.Ownership of smartphones is quite high among young adults in both countries. Total digital spending as a share of income may be lower in India due to lower subscription tariffs. In the UK, multiple subscription services can add up and reduce income for other purposes.These trends show how technology is remodelling youth consumption patterns, but the cost structure and purchasing power differ significantly.

Cultural & Family Obligations

Traditionally, cultural and family expectations strongly sway spending priorities. Many young adults contribute to household expenses in Indian families. It is quite common for working youth to support parents or siblings. Joint family systems may reduce housing costs but increase shared financial responsibility. This has a bearing in saving patterns and discretionary spending. According to the World Bank (2024), Indians maintain relatively higher household saving tendencies compared to many western economies. Cultural values learned during the upbringing, financial security and family support play a major role. In contrast, UK youth generally become financially independent much early and move separately after school or university. Financial independence increases living costs but reduces direct burden on family. Highlights from ONS (2024) points to a large share of young adults rent privately rather than live with parents. The above mentioned differences shape overall spending priorities. On one side Indian youth may save on rent but on the other side he may contribute to the family. In contrast to this UK youth may spend more on housing and personal living costs but have fewer extended family obligations.

Saving Behaviour Comparison

The average saving rate explains what percentage of total income is kept aside for saving instead of spent., India has traditionally shown a higher gross domestic saving rate compared to many developed countries. According to the World Bank (2024), India's gross domestic savings have remained around 30% of GDP in recent years, which is more than the UK's saving rate. Although national saving rates include all age groups, they reflect broader cultural and economic patterns of the entire population, not just youth behaviour.

Indian households often value financial security and long-term stability. Many families encourage saving from a young age. The Reserve Bank of India (RBI, 2023) data also reveals the financial savings through bank deposits and small savings schemes growing at a stronger rate. Even in lower income households, precautionary saving is common. Young adults may save for emergencies, marriage, housing, or family responsibilities. In contrast, the UK economy is developed and financial literacy and awareness is much higher compared to India thus it is more credit-driven. UK households saving ratios declined during periods of high inflation and rising living costs (ONS, 2024). Due to high rent payments and student loan deductions early career savings are much lower and much lesser. In addition to that, quick credit may also reduce motivation to saving.

Survey data in this study suggests that a higher percentage of Indian youth report saving a portion of their income compared to UK respondents. However, UK youth are more likely to invest in areas of higher growth avenues such as in pension schemes and savings accounts.

Percentage of Income Saved by Youth (India vs UK)

Country	Average % of Income Saved by Youth
India	20–25%
United Kingdom	8–10%

Overall, India shows a stronger cultural saving tendency, while UK saving behaviour is influenced by higher consumption and credit access.

Access to Financial Instruments

Better accessibility to financial instruments also influences the saving expenditure pattern among youth. For instance, young adults have much higher and better accessibility to individual saving accounts, workplace pension, and other investment platforms in the UK that promotes and encourages long term saving among young workers(UK Government, 2024).

In India, after several economic measures such as jan dhan yojna ,UPI financial inclusion has improved in recent years but not yet at the level of UK . According to RBI (2023), digital banking and online investment platforms have increased participation in financial markets. Popular saving instruments include fixed deposits (FDs), recurring deposits, Public Provident Fund (PPF), and Systematic Investment Plans (SIPs) in mutual funds. Due to advertisement , internet access and digital revolution SIPs and mutual funds have become popular among urban youth because they allow small monthly investments.

Risk taking ability among the youth of these two countries also varies. UK youth may invest in stocks or pension funds earlier due to financial awareness and structured systems. On the other hand Indian youth often prefer safer instruments like bank fixed deposits, gold, real estate etc. These differences show that while both countries provide saving options, the structure , risk ability, confidence and awareness levels differ. UK systems are more institutionalized, while Indian systems are expanding rapidly through digital platforms.

Debt Behaviour

Youth in UK, especially the young students, carry the obligation of debt in early adulthood as the University education is mostly supported by student loans. student loan reduces

the capacity to save in the early careers of youth employment as a result overall disposable income is less that goes to cover essential costs. In addition to that high penetration of credit card facility, consumer credit and buy now Pay later services are quite popular in young adults and steadily growing (The Financial Conduct Authority (FCA, 2023).

In India, youth debt levels are rising but remain lower compared to the UK. Credit card penetration is increasing, especially in urban areas (RBI, 2023). Education loans are available but less widespread compared to the UK's student loan system. Digital payment systems such as UPI and mobile app based services have increased transaction frequency but not debt levels. High debt to income ratio in UK youth is much higher compared to the youth of India. That reduces the ability to save more money. However Indian youth may not have its structure that but use informal borrowings from the friends and family to cover the extra expenses

High debt-to-income ratios reduce saving potential. UK youth may allocate part of income to debt repayment, limiting savings. Indian youth, although earning less on average, may carry lower structured debt but face informal family financial obligations.

Debt-to-Income Ratio Comparison (Youth 18–30)

Country	Debt-to-Income Ratio (%)
India	18% – 22%
United Kingdom	110% – 125%

The above comparison explains the contrast of saving behaviour not only because of income levels but also because of financial structure and credit systems. India shows a stronger

saving pattern and lower formal debt exposure. The UK shows higher access to credit and structured loan systems, to support short term consumption but reduce short-term saving capacity. These structural differences help explain why youth consumption and saving patterns vary between the two countries.

Discretionary Expenditure

Expenditure done on non essential goods and services is referred to as discretionary expenditure. These include travel, dining out, fashion, entertainment, luxury goods, and lifestyle services. The degree of dependence of discretionary expenses is closely linked to the level of income, culture and societal trends. It has been observed that at times when essential expenses are high, spending on discretionary items is usually low. With increased disposable income, lifestyle spending takes the front seat i.e. it also increases. Youth aged 18–30 are strongly influenced by their image in the society, comparison with fellows and digital exposure. Additionally, these are also a few of the major factors contributing to variations in disposable income. Comparing expenditure on non essentials by youth India and the UK provides useful insight into how economic development can be a driver in shaping lifestyle choices.

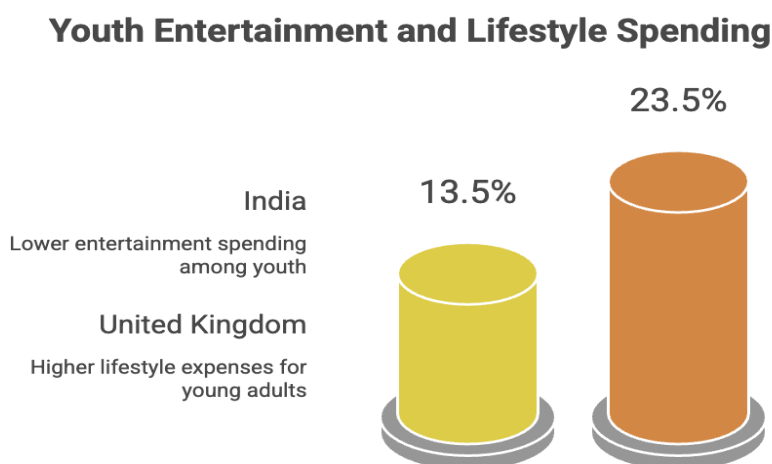
Lifestyle & Entertainment Spending

One of the common heads under which youth from both the nations spend are entertainment and lifestyle choices. Share of expenditure as a percentage of income for the two may differ. According to the Office for National Statistics, 2024: Youth in the UK spends additionally on streaming services such as Netflix OTT platforms, online gaming portals, fitness memberships, dineout experiences and travelling, to name a few major ones. Apart from these,

attending music concerts, leisure activities are also common expenditure avenues. However, increased housing costs have a negative impact on above mentioned expenditures.

In the Indian context, discretionary expenditure has risen in recent periods especially in urban areas. This is due to rising income of the new middle class, as per Deloitte's 2024 study, accessible and affordable air fares, expansion of budget airlines, increased awareness, availability of options, tempting offers by quick service restaurants(QSRs) which are ready to burn some cash for customer acquisition. The rapid growth in expenditure is also due to urbanisation. Still, the share of income on discretionary expenses is lower when compared with the youth in the UK.

In this digitally connected era, internet based services which include online gaming and steaming services have emerged as new avenues of non essential expenditure. As per RBI, 2023 study expansion of Over the Top streaming services and online gaming platforms is primarily due to low cost mobile data. While in the UK, these two have caused the non-essential spending to go upwards.



Luxury & Brand Consumption

The difference in the consumption of fashion and lifestyle articles from firms which are widely recognised for their excellent craftsmanship is another area of comparison among UK and Indian Youth. Youth in the UK purchase luxury and branded personal care and apparel items due to accessibility, and prevalence of endorsement related shopping offers for end buyers. McKinsey's 2025 research highlights that youth in developed economies put brand and convenience at a higher pedestal.

On the other hand in the Indian scenario something that is common and regular in the UK becomes coveted and aspirational. Expenditure on luxury and branded consumer products is limited to metropolitan cities such as Delhi, Mumbai, Kolkata, Chennai etc. Traditional behaviour of savings takes precedence over indulgence in luxurious items.

Indian youth consider spending on branded and luxury something that symbolizes status in the society and hence it is occasional. Even those who can afford such purchases place traditional perception ahead

Impact of Social Media & Globalization

In a virtually connected world fashion and trends in any part of the globe are shared globally within a very short span of time. Social media platforms such as Youtube, Facebook, Instagram, Tik-tok, X, Snapchat etc. have created this virtual bridge connecting every Country on this globe including India and UK. English language Movies, television series promote fashion products.

A new category of people called social media influencers expand the reach of innovators and creators of fashion to earlier difficult to reach regions. This has created a new trend of fast fashion. Which is by definition not meant to be durable. Despite the above mentioned causes of hurdles in the form of financial income, Indian youth exercise some restraint which may not be the case with similar aged UK youth.

Primary data supports the trend observed in the secondary data for instance UK respondents acknowledged and reported that housing rent is the largest expenditure similarly Indian respondents show the strong saving behaviour that is consistent with data reported by World Bank in RBI

Discussion

The difference in GDP per capita of the two countries places the UK way ahead of India. This higher per head GDP translates to higher average individual income which allows Youth in the UK to spend more on essential and discretionary fronts. Even after this the percentage share of UK youth is lower than that of an Indian youth. Lower per capita income of Indian youth puts some constraint on Indian youth in the form of reduced expenditure on essential and non essential items.

The role played by Indian social norms and traditions, joint family system influences savings and expenses. Families in India inculcate the habit of small savings since childhood which in long term becomes a usual for youth(RBI, 2023). When this child becomes a young adult he or she continues the habit of saving through investment products such as Fixed deposits, systematic Investment plans(sip), which in long run creates a good corpus for future needs and

requirements. Indian families often support the college going youth financially, morally and emotionally therefore families also share the financial burden of youth. They live with their parents unless necessary otherwise, thereby reducing the cost of house rents, accommodation.

Youth in the UK move to separate accommodation managing their expenses early in their life. This creates a need for finance which is met by student loan, credit facilities. Easy availability of finance is another major factor differentiating youth behaviour in two countries. The Office for National Statistics conducted the research and found out that in the UK household saving ratios have fluctuated in years leading up to present. It signals out inflation and rising costs as the influencers.

According to the IMF, 2024 Inflation and rising costs of living in developed as well as emerging economies have reduced the amount and real value of savings. Although the impact is on the youth of both economies, those from lower income economies are affected more. This led to lower non essential expenditure and reduced savings.

Primary data analysis shows that Social media please moderate but play an important role in the decision making pattern of Expenditure and consumption behaviour. 45% of the respondents reported that we are moderately influenced and 15% reported as strongly influenced. This highlights that social media platforms help in discovering the new product desired information trends however awareness about budgeting and Limited budget impacts the actual spending pattern. Primary survey analysis also challenges the view that young consumers are impulsive and excessive spenders. As the findings show that the spending pattern is controlled. Essential expenditure such as housing cause food please important role in financial behaviour.

The highlights of the study may be summed as social, cultural, and traditional conventions create differences in the consumption patterns of Youth of either countries. Existing differences are not uniform rather varying. For example: wider gap in accommodation costs but narrower in digital space. These factors along with institutional setup are also responsible for differences that exist. Globalization and digitization of services together are gradually shrinking the gap.

Table 1: Largest Spending Category

Category	No. of Respondents
Food & Groceries	12
Housing/Rent	8
Technology/Gadgets	7
Education	6
Fashion & Lifestyle	5
Transportation	1
Entertainment	1

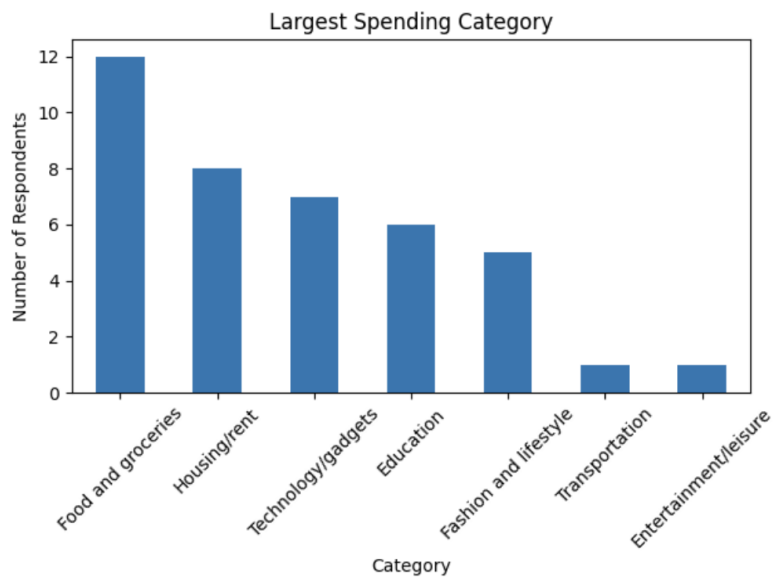


Table 2: Saving Behaviour

Response	No. of Respondents
Yes	29
Sometimes	11

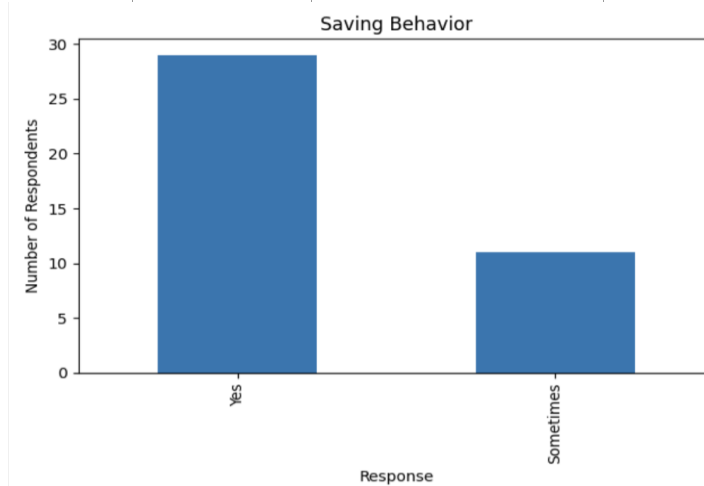
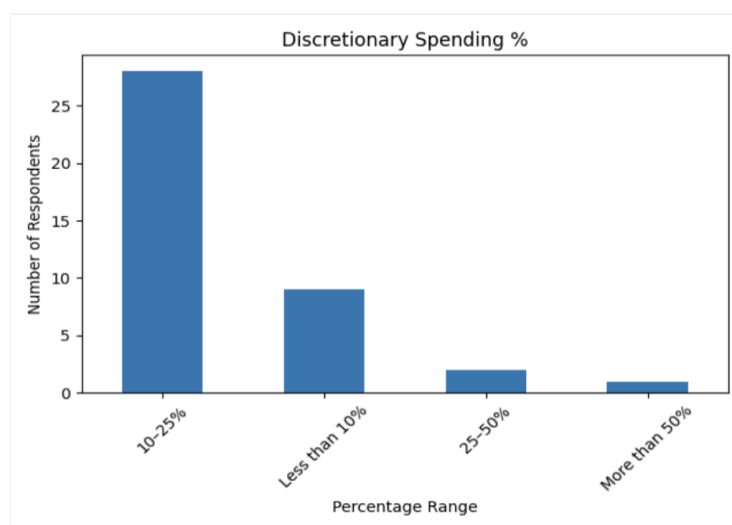


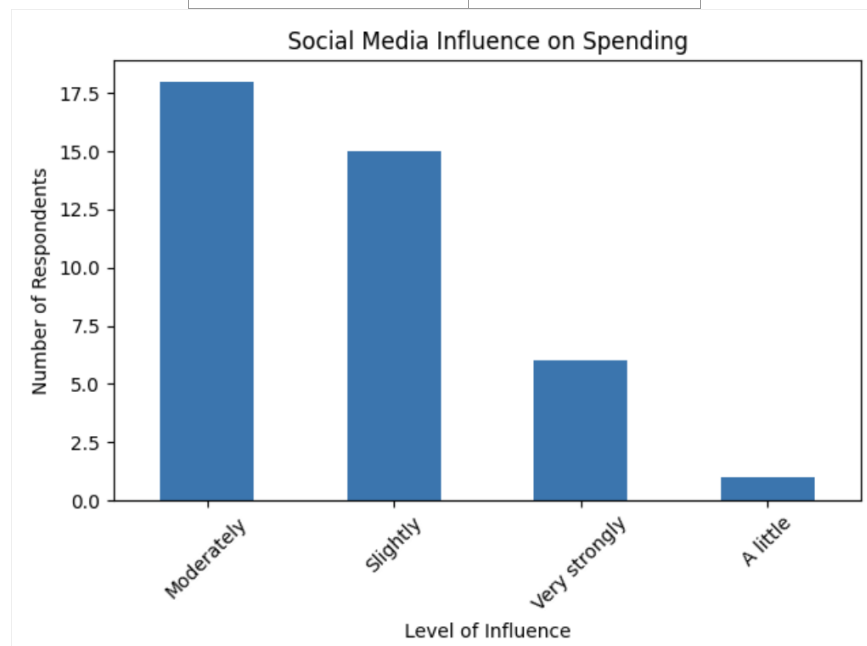
Table 3: Discretionary Spending (% of Income)

Range	Respondents
10–25%	28
<10%	9
25–50%	2
>50%	1

**Table 4: Social Media Influence**

Influence Level	Respondents
Moderately	18
Slightly	15

Very strongly	6
A little	1



Conclusion

One key difference is the burden of essential expenditure. Youth in the UK spend a large share of income on housing and utilities. According to the Office for National Statistics (2024), housing costs form one of the biggest components of household spending. In contrast, many Indian youth benefit from joint family living arrangements, which reduce direct rent payments. However, Indian youth may spend a higher percentage of income on food and family contributions.

The analysis in this study makes it explicitly clear that the extent to which consumption patterns among youth aged 18–30 differ between India and the UK are significant and that is due

to a number of contributing factors which are income levels, cost of housing, cultural norms and financial setup in the country. The areas of comparison are spending priorities, saving behaviour, and discretionary expenditure.

Primary data analysis also highlights that Indian youth follows the balanced financial approach in which spending is mainly driven by necessity and then discretionary consumptions are of moderate level with consistent saving habits. It has been seen that social media and Lifestyle trends influence the purchasing decisions but overall financial discipline remains same. That shows that The current generation is well aware of financial stability risk and long term planning and avoids pattern of impulsive consumption in long run.

Difference in the cost of housing stems from the fact that in India families support the youth as a social obligation eliminating the immediate housing cost for the youth who may have to contribute to family expenditure or for the younger siblings study, while in the UK, a separate housing requirement makes it necessary for the youth to bear the expenditure, creating short term obligation, which is met by education loan or credit schemes by the government.

Behavioural differences are other factors affecting consumption patterns, According to The World Bank Indian parents traditionally encourage advance savings and discourage non essential purchases. According to the RBI and UK public statistics body, institutional support shapes financial behaviour. Digital payment services are prevalent in both the economies. The magnitude and specific sectors of spending are different. For example, Indian youth may make frequent small value online purchases, while Youth in the UK usually spend on branded products, short travel, entertainment, regular dining out etc. The gap is narrowing though still noticeable.

To reduce the gap structural reforms are needed. As is the case with any other structural tweak, it may take time and follow up modifications for the intended effects to reflect on the ground. Complacency can not be allowed. Youth must be empowered with the right tools to make them Financially literate so that youth can make financially sound decisions for short as well as long term. Along with financial literacy, the housing market should be stabilized by improving the supply of affordable housing in both the countries.

In future research can be conducted with a larger sample size. Rural youth can be included in surveys for better comparison. Longitudinal studies could also examine how consumption patterns change over time. Overall, this study shows that youth consumption patterns differ substantially between India and the UK. These differences are shaped by both economic development and cultural systems.

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